



WHAT I WOULD HAVE LIKED TO KNOWN **BEFORE**

BUILDING MY CHABAD HOUSE

Written By Rabbi Lazer Gurkow



CONTRIBUTORS

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he Rebbe explained that when the Chabad House is in a building that offers all the services that a Jew requires, the community attends in greater numbers. Rather than needing to recruit each Jew individually, Jews come to the Chabad House because it is an address for Judaism in town.

The Rebbe addressed the concern that putting up a large building might overreach the potential of a given local community. The Rebbe said that after many decades of shlichus, experience has proven that wherever a Chabad House is opened, the building fills up and the programs are successful. Essentially, the Rebbe told us that if we build, the Jews will come.¹

The Rebbe also encouraged us to build beyond our needs because if the rooms are available and empty, we will feel obligated to fill them. And even if we don't have the time or funds to build, the Rebbe encouraged buying or renting an existing building. And always a building that is larger than our current needs.²

Thirty years after the Rebbe spoke these words, shluchim have found them to ring true. Building after building has gone up, and dreams that no one ever dared to imagine have been realized. In preparing to write this article I talked to many shluchim. Each had a slightly different insight, but all agreed on two points. The first point is that the success of their building campaign surprised them. Many called it a miracle. The second point is that the building established them as a permanent Jewish institution in the city.

Despite all these wonderful assurances, the fact remains that putting up a building is an extremely chal-

The Rebbe wants us to build Chabad Houses. The Rebbe often urged shluchim to buy or build new buildings, or at least expand their existing building.

¹ *Toras Menachem* 5747, 1:466-468.

² *Toras Menachem* 5749, 1:54.

lenging undertaking. The purpose of this article is to help shluchim who aspire to buy or build learn from the experience of others.

TIMING

The first question is, when is the right time to buy or build a building?

Rabbi Yisroel Brod, shliach in Kfar Chabad, Eretz Yisroel, explains that sometimes the capital campaign begins because the perfect building becomes available and the shliach cannot afford to let the opportunity slide. However, all things being equal, shluchim usually build after growing out of their initial location and after having developed a financial support network in the community.

Many shluchim begin in their living room or garage and move from there to a store front before finally purchasing a building. Rabbi Mendel Block, shliach in Plano, Texas, relates that he took a different track. He moved from his garage directly into his building and never took the intermediate step of renting a storefront. He feels that if you can make this work—depending on the size of your garage and the setup of your home and family—it is preferable to investing in a storefront that you are likely to outgrow anyway. The discomfort of the baalei batim

whom you serve in your cramped facility may translate into a circle of support that desires a new building nearly as much as you do.

On the other hand, cautions Rabbi Raphael Kats, shliach in Saskatoon, Saskatchewan, remaining in your garage or living room for too long can also backfire. If people feel that they are inconveniencing your family or if they feel uncomfortable associating with a garage or basement shul, you stand to lose baalei batim. The key is to consider this question carefully. You don't want to forge ahead before your community is primed for the venture, but you also don't want to wait until they have burned out.

VISION

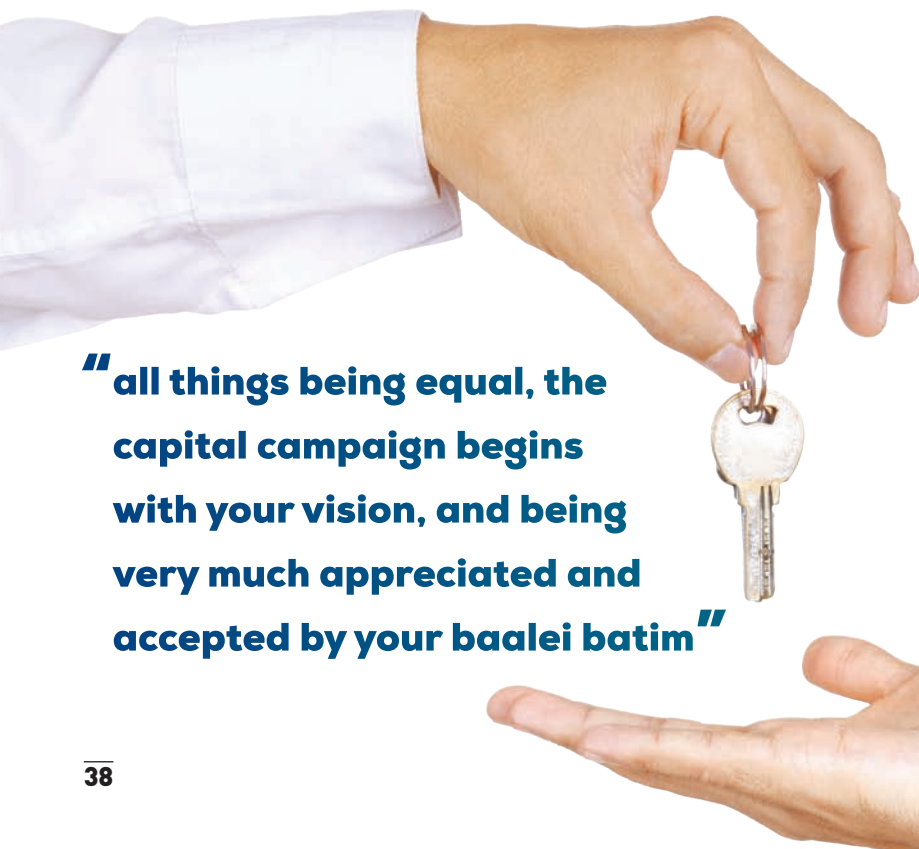
Rabbi Brod explains that all capital campaigns should begin with a vision. There are times when a capital campaign begins because the perfect building became available, and the campaign coalesces around the building. But all things being equal, the capital campaign begins with your vision, and being very much appreciated and accepted by your baalei batim.

The first step is to decide what you are building for. Rabbi Alter Tenenbaum, shliach in Irvine, California,

advises shluchim to consider the needs of their community. Does the community primarily need a preschool, a shul, or a Jewish community center? Decide what the building is for and make sure it is designed accordingly. The Rebbe directed that all Chabad Houses serve all three purposes of Torah, avodah and gemilus chassadim, and surely each Chabad House serves all Jewish needs, but we need to decide which need will be primary in our building and which will be secondary. Will the sanctuary take up most of the main floor or will there be classrooms? Will there be space for a mikvah? These questions should be answered in advance.

Rabbi Tenenbaum also reminds shluchim of the Rebbe's instructions to build or buy beyond our current needs. Remember that a building will stand for decades. Don't build for today's needs.

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SEE THE FOLLOWING COMPASS MAGAZINE ARTICLES FOR MORE ON THE TOPICS MENTIONED IN THIS ARTICLE:

- “Three Crucial Answers About Capital Campaigns,” Vol. 19
- “Forewarned is Forearmed: What You Can (and Should) Do Today to Lay the Financial Groundwork for Your Chabad House Purchase,” Vol. 22
- “Taking the Leap: Eight Points to Ponder Before Building Your Chabad House,” Vol. 17

Build for your needs in twenty or fifty years. However, Rabbi Brod cautions that the vision must be of a size and scope that is within reason. It must be a vision that you are able to sell to your potential donors. It must be a rational vision that they can and will buy into.

In addition to selling your vision, you must also sell them on your strategy. You must show your baalei batim that you have a practical plan for forging ahead. Show them how much you intend to raise locally, what additional sources you intend to tap, and what kind of loans you hope to secure. Give them reason to believe that your campaign has a strong path to success.

Once you have the backing of key members of your community, ask them to form a financial committee to support your capital campaign. The committee will help you locate a building, negotiate with the seller and the bank, and solicit donations. (There is a lot to discuss with regard to building committees, beyond the scope of this article.)

LOCATION

Location, location, location. The first step is to identify the right location for your Chabad House. One shliach told me that after purchasing a building, he realized that he was several miles from the center of the Jewish community. By then it was too late, and he had no choice but to operate from a distance. Finding a building or a plot for the right price is not as important as finding one in the right place. Make sure you choose well. However, it is sometimes wise to take note of community trends. If you identify a migration toward a particular area of town, it is wise to invest in that area before the prices escalate.

NEGOTIATION

Once you decide on the location, size, and scope of your building, it is time to look for your building or your plot of land. Once you identify a potential site, Rabbi Brod suggests that one of your baalei batim meet the seller and conduct the negotiation. It is best if the seller does not know that the potential buyer is a community group because sellers often raise the price once they realize that their building is a perfect location for a community group. The shliach should only meet the seller after the price has been agreed upon.

Rabbi Zvi Drizin, shliach in Dallas, Texas, reminds us that when it comes to buying, every aspect of the transaction is negotiable. Rabbi Drizin was negotiating for a building and needed more time to arrange financing. The

seller wanted to close the sale right away but Rabbi Drizin wanted to put the building under contract for several months. Though it is usually possible to put a building under contract for a fraction of the price of the sale, the seller refused. During negotiation, Rabbi Drizin discovered that the seller was eager to sell because she stood to absorb a steep fine if she did not sell by a particular date. Rabbi Drizin offered to pay her fine and she agreed to put the building under contract.

Rabbi Drizin also recommends that you ask about owner financing. If the seller agrees to this condition, it can save you a lot of money. You cannot know if it is possible unless you ask. So, don't be afraid to ask. Rabbi Drizin adds that asking is not shameful. Every good businessperson negotiates. In fact, the larger their business, the more they negotiate. You are an important person. You are the Rebbe's shliach and the community rabbi. You are not there to be dictated to by the other party. You are there to negotiate. If you walk into the deal intimidated, the other party will take advantage of you. If you walk into the deal with confidence, they will respect you. Of course, we are not talking about taking undue advantage of the other party. Negotiations must be conducted fairly and respectfully, but they should be treated as a negotiation. Not as a dictate from a superior.

The key to conducting such negotiations successfully, says Rabbi Drizin, is to be willing to walk away from the deal at any point. If the sellers sense that you are committed to the deal, they will put the onus on you to make concessions. If the sellers sense that you

are willing to walk, they will be more willing to make concessions if they are committed to the sale. This is especially important as the deal progresses. Many people become emotionally invested in a deal once the negotiations progress and appear to enter the final stages. If you demonstrate a subtle willingness to walk away after you notice that the seller is excited to close the deal, you will have the upper hand.

THE BANK

Once you find your building, Rabbi Moshe Gray, shliach in Hanover, New Hampshire, recommends bringing the banker into the picture. As soon as Rabbi Gray had his eye on a building, even before he knew whether he would require a loan, he invited his banker to look at the building and asked for his advice. Rabbi Gray suggests that the banker should be treated as a donor and should be involved from the very beginning.

The key, according to many shluchim, is to use a local, rather than a national bank. There are two benefits to using a local bank. Firstly, local banks are invested in helping the local community and might be more flexible in the terms that they offer to a synagogue or community center. Secondly, it is possible to develop a relationship with the president of a local bank. Presidents of national banks are beyond the reach of the local shliach, which means that you will need to deal with the loan officer, who has very little discretion in terms of the loan. Presidents of local banks are much more available. In fact, they seek connection opportunities in the local community.

Rabbi Block relates that he opened his bank account with a local bank on the day he arrived in Plano and stayed with them as they grew. He maintained a relationship with the president even after the president moved to corporate headquarters. He would visit the president annually and share details

about the growth of Chabad. Over the years, the president became a donor and when it was time to secure a loan, the president was eager to help. He improved the loan without a guarantor and gave Chabad favorable terms. This would be very unlikely in a national bank.

Rabbi Yitzchok Tiechtel, shliach in Nashville, Tennessee, agrees with the idea of not using a national bank but cautions against using a small local bank. If you require a loan of several million dollars, you want to be sure the bank is large enough to handle it. He therefore suggests using a regional bank with multiple branches, rather than a local bank with a single branch. This will offer a healthy balance. It is large enough to handle your loan and it is small enough to allow you to build a relationship with its upper echelon.

Rabbi Sholom Ber Schmerling, shliach in Venice, Florida, found that using a bank that had already done business with another shliach was helpful. The banker told him that although he was a small organization, he was happy to work with him because he understood that Chabad of Venice is a branch of an international organization. This was a vision he developed from working with multiple Chabad Houses.

Presenting yourself as a local branch of an international organization, says Rabbi Schmerling, is a good idea even if your bank never serviced another shliach. It will inspire confidence in the banker who might otherwise be worried about your financial wellbeing.

If you don't have a bank that worked with another shliach, says Rabbi Schmerling, look for a bank that has extended a loan to any synagogue or church. Working with a not-for-profit organization is different than working with a commercial enterprise and you want a banker who has experience with this.

If you can't find a bank who will do business with you, Rabbi Kats suggests that you hire a mortgage broker. It will cost a little extra because they collect a commission, but they are likely to have more success with lining up a bank.



YOUR BOOKS

The bank will require that you show them your books, but, says Rabbi Schmerling, don't open your books to the bank until you have done two things. First, make sure you have asked all your questions—find out if the bank will work with you before you show them your books. If they won't work with you, there is no reason to show them your books. Second, make sure your books are in order. It is best to hire a professional accountant, who will communicate with the bank to understand their requirements. Let the accountant review your books before you present them to the bank to ensure that they are in the order that the bank prefers.

It is also important to note that your books must be under the name of your corporation. One shliach, who did not have his own non-for-profit tax ID, processed all his finances through a neighboring shliach. When he finally got his tax ID, the banks disregarded all his previous fundraising successes and viewed his Chabad House as a new organization with no financial history. He managed to secure a loan, but only because he recruited three guarantors to back it.

TERMS OF THE LOAN

Rabbi Drizin explains that although bank policies seem immutable, every aspect of the deal, including the bank loan, is negotiable. You might not be able to reduce the interest rate of the loan, but you might be able to renegotiate its terms. For example, if they ask for three guarantors, you might be able to negotiate the number down to two or even one. If they want you to put your personal house up for collateral, you might be able to negotiate alternate terms. You will never know if you don't ask, therefore ask. This is especially true if you have a personal relationship with the banker.

Rabbi Schmerling points out that having a strong financial committee of baalei batim is very helpful in this regard. In his case, he purchased a property with four lots but was only planning to build on one of them. The bank wanted to place all four lots under collateral but under the guidance of his financial committee he was able to renegotiate the terms and only the plot under construction was placed under collateral. Rabbi Schmerling says that he felt confident negotiating with the bank because he had the strong backing of his financial committee. Rabbi Schmerling therefore recommends that if you want to buy or build, bring Rabbi Yisroel Brod to your community before you even begin to look for a building.

He will help you set you up a proper financial committee and ensure that you are on the best possible footing.

CAPITAL CAMPAIGN

Capital campaigns are all consuming; they require your complete focus and attention. Yet, in addition to running your capital campaign, you need to continue raising your annual budget. Therefore, says Rabbi Brod, make sure to solicit your regular donors for your annual campaign before you make the larger ask for your capital campaign.

A capital campaign is a rare opportunity to raise substantially higher donations than usual. They are exciting, but they are also trying. Rabbi Tenenbaum advises that you get approved for the largest loan you can possibly get from the bank, but use it as a last resort. Endeavor to raise all the money through your campaign. Even if you can't imagine raising that amount of money, don't underestimate the power and inspiration of a capital campaign. Donors are apt to give ten to thirty times as much as their annual donation. Your \$18 donor might give anywhere between \$185 and \$540. Your \$18,000 donor might give you a quarter of a million dollars.

Your capital campaign is an *eis ratzon* and you should utilize every second. Resolve not to sleep, says Rabbi Tenenbaum. Approach new donors and increase your ask of previous donors because people are willing to give. Rabbi Tiechtel agrees that a capital campaign project is a time that brings out the philanthropic side of the community. One shliach added a story about a donor who gave him \$50,000 toward his capital campaign. Once they entered the building phase, he asked the donor for an additional \$18,000. The donor said he would think about it. A little while later, during Chanukah, the donor handed him an envelope with what he called Chanukah gelt. In it was a check for another \$50,000.

These are the kind of stories that occur during a capital campaign.

Capital campaigns also offer the shliach an opportunity to collect more money upfront, says Rabbi Tenenbaum. When donors offer to pay out their pledge over several years, you can point out that every dollar they give today will go toward the building but most of the dollars that they will give next year will go toward paying down the interest of the loan (because once you take a mortgage, your money goes to the bank rather than the building). Rabbi Drizin adds that when he said every aspect of the deal is negotiable, it includes your

baalei batim's donations. If they offer a lower amount than they originally pledged, a capital campaign gives you the opportunity to insist that you need them to fill their entire pledge. You embarked on the campaign because you counted on their pledge and they can't pull the plug on you now.

The final decision belongs, of course, to the donor. If the donor decides to lower his pledge or to pay it out over several years, you will accept the gift with gratitude. But a capital campaign gives you the opportunity to be more direct with the donor than you would otherwise want to be.

Once your building is up, donors will usually revert to their old level of giving. Don't assume that you can set a smaller target for your capital campaign and take out a mortgage for the rest. Once excitement over the new building expires, raising money for the building becomes more difficult. Donors are much less excited about covering your mortgage after the campaign than they are about putting up the building during the campaign. It is therefore necessary to push yourself as much as possible during the campaign and raise every penny that you can. Once the window closes, it will be too late.

Rabbi Tenenbaum recommends extending the capital campaign for as long as possible. Several shluchim even halted construction and left the building unfinished because they ran out of money. They knew that so long as the building was unfinished they could still raise money for it. If they were to borrow the funds and complete the building, the capital campaign would be over and they would be left with a mortgage they could not cover. Not everyone has the luxury of extending their capital campaign, but if you can, it is advisable to do so.

If the worst has happened—your capital campaign has run out and you can't postpone putting up your building, don't view taking a loan from the bank as a disaster. While it isn't the best option, it isn't a terrible option either. Securing a mortgage or a building loan in this day and age is a long process because banks are understandably cautious. They will want to see at least three years of profit and loss statements with QuickBooks support, they will constantly ask for documentation and updates, and they will hold your feet to the fundraising fire. You might grow frustrated with the process, but remember that being held to the fundraising fire is not a bad thing. Fundraising is never easy so when someone forces us to go out and raise, we tend to raise more actively and more successfully. This is a good thing. Also, when talking to

your donor base you can blame your urgency on the bank.

DONOR LIST

Before embarking on your capital campaign, it is vital that you secure the support of your largest donors. Rabbi Brod advises shluchim to anticipate an 90/10 model. Ten percent of your donors are likely to cover ninety percent of your campaign. It is therefore advisable to recruit your top tier donors before announcing your public campaign. This way, most of your campaign will be covered before you even go public.

Capital campaigns drive you to ask for much larger gifts than you ever solicited before. Rabbi Drizin suggests that when making the ask, drive home the point that you are asking them to invest in your commitment to their city and to their community. The phrase he used was that he was making a generational commitment. His father-in-law is a shliach in Dallas, he is a shliach in Dallas, and he expects his children to be shluchim in Dallas. Play up the commitment that you are making, assure your loyal donor base that your commitment is generational and ask them to invest with you.

Don't be intimidated, says Rabbi Tenenbaum. Remember that most of your donor base is already known to you. Most shluchim will tell you that their biggest donors are the people they met before they built their building. When they first met these baalei batim, they never imagined these people would donate at that level but when they were given them something to contribute to, they opened their hearts.

In fact, says Rabbi Block, the very people who helped you shlep your tables and chairs from your garage to your rented Hebrew School facility, and who packed up their family to spend Rosh Hashanah with you in a hotel, will become the key baalei batim who help you put up your building.

IT PAYS TO INCLUDE

Rabbi Tiechtel suggests that when you design your building you use the highest quality material. When you are securing a loan or raising the funds, you are inclined to reduce your burden by purchasing less expensive





material. But you need to think ahead. Fifty years ahead. You don't want a building that will break apart on you. You want a building that is made to last.

In that vein, it is important to have a funding strategy for the long-term maintenance of your building. Rabbi Tenenbaum suggests that when planning your capital campaign or deciding on the amount of your loan, include a cash reserve for the first few years of maintenance. The cost of a new building is not just the purchase and construction. It is the expanded maintenance and utilities budget that increases your annual budget exponentially.

Buildings don't age well if they are not tended to and it is a waste to build a beautiful building, only to let it go to waste. Your building, says Rabbi Tenenbaum, does not belong to you. It belongs to the Rebbe and to the donors. When donors walk into a building that they paid for and see that it is falling apart, they are not inspired to give more. When they see that their building is in pristine shape and is serving the community's needs, they take pride in their contribution and are inspired to give more. This is in addition to the fact that building the Rebbe's building is a privilege and it is our sacred obligation to maintain it lovingly.

Having a building requires that we put time and effort into maintaining the center and ensuring that upkeep is done on a regularly scheduled basis. Rabbi Tiechtel adds that making repairs—even small ones—in a timely fashion will help keep your Chabad House warm and inviting.

If we appreciate the scope of this responsibility, we will build a cash reserve for the first few years of maintenance into our loan or capital campaign. Remember that as hard as it is to add to your burden during the campaign, it is easier to raise the additional funds during the campaign than it will be to raise it later. Rabbi Tiechtel suggests adding twenty percent to the capital campaign goal for this purpose.

One shliach related that he wanted to place a fence around his building, but tabled that project for a later date so he could focus on his capital campaign. His building has been up for several years and he has still not raised all of the \$70,000 needed. He feels that if he had included the fence in his capital campaign, he would have been able to fully fund it.

“Think ahead. Think fifty years ahead. Remember, you are not just making a lifetime commitment to your makom hashlichus when you put up a building.”

Every corner of your building can come to use. Rabbi Tenenbaum suggests studying the blueprints carefully and keeping a close eye on the construction. If you see an area being walled off, ask why. If the space can be used, salvage it. You can never have too much space in a building.

Also, when planning for your building, think ahead. Think about a mikvah, a commercial kitchen, a playground, etc. Even if you don't need these things today, try to incorporate space for them in your building. Rabbi Tenenbaum suggests digging a hole in the basement for a mikvah even if you will cover it up and won't install a mikvah for years. It is much cheaper to dig the hole when the building is going up than to add it at a later date.

Think ahead. Think fifty years ahead. Remember, you are not just making a lifetime commitment to your makom hashlichus when you put up a building. You are making a generational commitment. And the day will come when you or your children will need to put up a mikvah. When your banker asks why you need the extra hole in the basement, explain that your vision is for the future. It will demonstrate stability, which inspires confidence in the bank.

The Rebbe explained several times³ that although we expect Moshiach to come today, we plant roots and build buildings in galus even if they will take many years to come to fruition. The Rebbe trained us to plan for the future even though we expect Moshiach to come and interrupt our plans. “Al pi Hashem yachanu v'al pi Hashem yisa'u.” Even if we settle for a half day, we build the Mishkan as if we will remain in place for years. When the Aibershter will interrupt our plans, speedily in our times, and instruct us to journey forth, we will gladly accept the interruption and march to Yerushalayim ir hakodesh, umalkeinu b'rosheinu, amen. 

³ See, for example, Toras Menachem 18:299-300.